

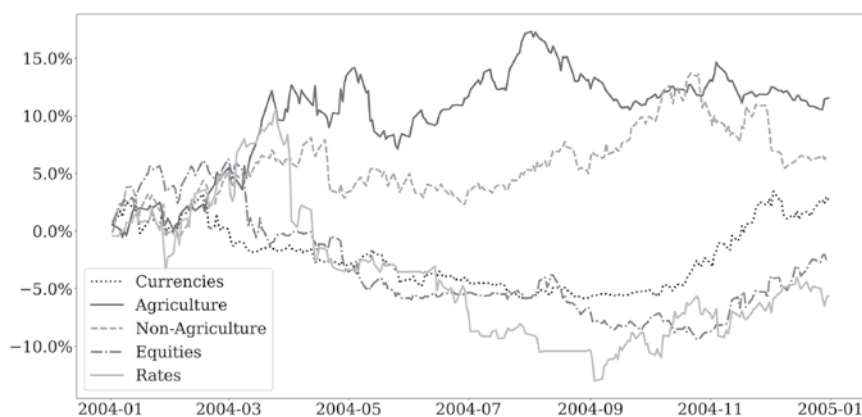


FIGURE 6.15 Sector performance 2004.

only to keep losing for the rest of the year and end up deep in the red (Figure 6.15).

As often is the case, the action this year was mostly on the long side (Figure 6.16). In fact, we had very few short positions on until about mid-year, and we gained quite well on the short side all in all, but we ended up losing money on the shorts (Figure 6.17). This happens more often than not, and the short side can be seen a sort of insurance policy. It ends up costing money most of the time, but once in a while it pays out really well.

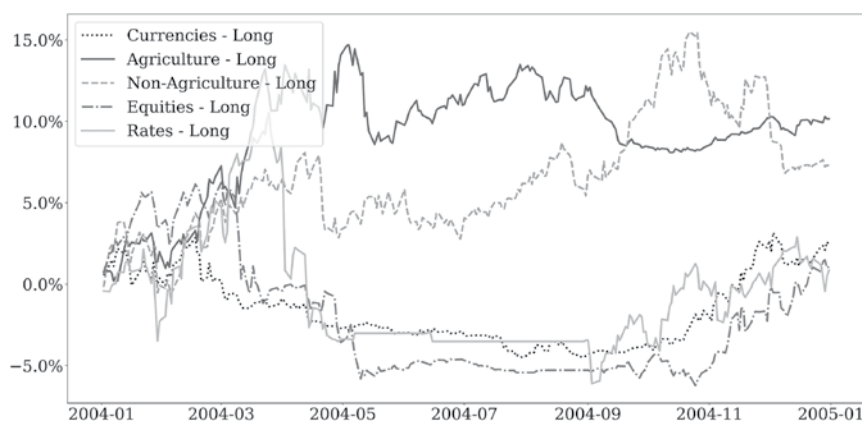


FIGURE 6.16 Long sector performance 2004.